

CASE #	CASE NAME	HEARING NAME
CVRI2402988	QUINN vs NATIONS RECOVERY SERVICE, INC.	MOTION FOR NEW TRIAL

Tentative Ruling:

A trial court has broad discretion to rule on the new trial motion. (*Hartt v. County of Los Angeles*, 197 Cal. App. 4th 1391, 1409, 132 Cal. Rptr. 3d 27 (2d Dist. 2011)) However, a new trial order can be granted only on a ground specified in the motion. (*Collins v. Sutter Memorial Hospital*, 196 Cal. App. 4th 1, 16, 126 Cal. Rptr. 3d 193 (3d Dist. 2011))

The court may grant a new trial when after an examination of the entire case, including the evidence, the court is of the opinion the error complained of has resulted in a miscarriage of justice. (Cal Const Art VI, § 13) When the judge presided over the trial, it is presumed he or she considered the entire case before ruling on the new trial motion. (See *Maher v. Saad*, 82 Cal. App. 4th 1317, 1324, 99 Cal. Rptr. 2d 213 (3d Dist. 2000))

Because the trial judge is familiar with the evidence, witnesses, and proceedings, he or she is in the best position to determine whether in view of all the circumstances, justice demands a retrial. (*Romero v. Riggs*, 24 Cal. App. 4th 117, 121, 29 Cal. Rptr. 2d 219 (4th Dist. 1994)) Thus, the determination of a motion for a new trial rests within the trial court's discretion and will not be disturbed on appeal unless a manifest and unmistakable abuse of discretion clearly appears.

A statement of reasons is not required when the court denies a motion for new trial. (*Stevens v. Owens-Corning Fiberglas Corp.*, 49 Cal. App. 4th 1645, 1657, 57 Cal. Rptr. 2d 525 (1st Dist. 1996))

Having presided over the trial and considered the entire case including all briefing on this motion for new trial the Court is of the opinion that no error complained of has resulted in a miscarriage of justice. Motion for new trial is denied.

5.

CASE #	CASE NAME	HEARING NAME
CVRI2505390	MARTINEZ vs HERNANDEZ-VARGAS	MOTION TO CONTEST GOOD FAITH SETTLEMENT

Tentative Ruling:

Moving party: Defendant Waste Management Collection and Recycling, Inc. and Pablo Arroyo

Represented by: Bordin Semmer LLP

Responding party: Defendant Juan Pablo Hernandez-Vargas

Represented by: Law Offices of Scott C. Stratman

Plaintiff Julian Martinez ("Plaintiff") alleges that he was severely injured on 10/22/24, while he was a passenger in Defendant Juan Pablo Hernandez-Vargas's ("Vargas") vehicle, which collided with Defendant Pablo Arroyo ("Arroyo"), who was operating a commercial truck for Defendant Waste Management Collection and Recycling, Inc. ("WM").

Plaintiff filed this action on 9/30/25 alleging claims for motor vehicle and general negligence. On 11/4/25, WM and Arroyo filed a cross-complaint against Vargas for implied indemnity, contribution and indemnity and declaratory relief. On 3/3/26, Vargas filed a cross-complaint against WM and Arroyo for indemnification and apportionment of fault.

On 3/3/26 Plaintiff requested entry of Vargas' default on the complaint. On 5/19/26, the parties stipulated and the Court ordered the default to be set aside.

On 5/26/26, Vargas filed an application for determination of good faith settlement. Vargas states Plaintiff will dismiss him from the complaint with prejudice in exchange for a settlement amount of \$250,000.

WM and Arroyo (collectively "WM Defendants") now move to contest good faith settlement. (C.C.P., § 877.6.) They argue the Application is procedurally defective as Vargas failed to provide proper statutory notice to them by serving at their counsel's old office address and they only learned of the application from the Court's June 17, 2026 minute order. They also argue the proposed settlement does not meet the "good faith" standard established *Tech-Bilt, Inc. v. Woodward-Clyde & Associates* (1985) 38 Cal.3d 488. They argue Vargas has not offered sufficient competent evidence to show the Court why \$250,000 is a fair settlement in light of his potential liability as the primary, if not sole, tortfeasor in this matter, and Plaintiff's damages are significant and exceed what the proposed settlement could equitably resolve. Moreover, details of the settlement terms, and evidence of Vargas' financial condition are not included thereby failing to meet the *Tech-Bilt* standards.

Vargas opposes and argues the failure of his counsel to catch WM Defendants new address was inadvertent and unintentional and there is no prejudice to them as they filed the instant motion. Vargas argues the settlement should be approved as it meets the *Tech-Bilt* standard. The settlement is for his policy limits, and he has no other assets.

No timely reply was received.

Analysis

I. Service

The service issue argued by WM Defendants does not appear to prejudice them as they were able to timely file the instant motion. The Court will reach the merits.

II. Legal Standard

In a case involving two or more alleged joint tortfeasors, a party may seek a court order under C.C.P., § 877.6 determining that a settlement between the plaintiff and one or more of the alleged tortfeasors is in good faith. A judicial determination of good faith “bar[s] any other joint tortfeasor . . . from any further claims against the settling tortfeasor . . . for equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault.” (C.C.P., § 877.6(c).)

In evaluating whether a settlement has been made in good faith, courts consider the following factors as set forth in *Tech-Bilt*: (1) “a rough approximation of plaintiffs’ total recovery” (2) “the settlor’s proportionate liability”; (3) “the amount paid in settlement”; (4) “the allocation of the settlement proceeds among plaintiffs”; (5) “a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial”; (6) the settling party’s “financial conditions and insurance policy limits”; and (7) any evidence of “collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants.” (*Id.* at 499.) “Practical considerations obviously require that the evaluation be made on the basis of information available at the time of settlement.” (*Id.*)

The “good faith” concept in section 877.6 is a flexible principle imposing on reviewing courts the obligation to guard against the numerous ways in which the interests of nonsettling defendants may be unfairly prejudiced. (*Rankin v. Curtis* (1986) 183 Cal.App.3d 939, 945.) Accordingly, under *Tech-Bilt*, the party asserting the lack of “good faith” may meet this burden by demonstrating that the settlement is so far “out of the ballpark” as to be inconsistent with the equitable objectives of the statute. (*Tech-Bilt, supra*, 38 Cal.3d at 499–500.) Such a demonstration would establish that the proposed settlement was not a “settlement made in good faith” within the terms of section 877.6. (*Id.*)

Section 877.6 is designed to further two equitable policies: (1) encouragement of settlements; and (2) equitable allocation of costs among joint tortfeasors. (*Id.*) Those policies would not be served by an approach which emphasizes one to the virtual exclusion of the other. (*Id.*) Accordingly, a settlement will not be found in good faith unless the amount is reasonable in light of the settling tortfeasor’s proportionate share of liability. (*Std. Pac. of San Diego v. A. A. Baxter Corp.* (1986) 176 Cal.App.3d 577, 589.) A “defendant’s settlement figure must not be grossly disproportionate to what a reasonable person, at the time of the settlement, would estimate the settling defendant’s liability to be.” (*Tech-Bilt, supra*, 38 Cal.3d at 499.)

When a motion seeking a determination under section 877.6 is not opposed, the burden on the moving parties to show that the settlement was made in good faith is

slight. (*City of Grand Terrace v. Sup. Ct.* (1987) 192 Cal.App.3d 1251, 1261.) When a good faith motion is contested, however, the moving parties have the initial burden of producing evidence in support of the requested good faith determination. (*Id.* at 1261–62.) “Section 877.6 and *Tech-Bilt* require an evidentiary showing, through expert declarations or other means, that the proposed settlement is within the reasonable range permitted by the criterion of good faith.” (*Mattco Forge v. Arthur Young & Co.* (1995) 38 Cal.App.4th 1337, 1351.) “Substantial evidence” is required. (*Id.* at 1352.) A declaration from a settling defendant’s attorney that states, in conclusory fashion, that the client has little or no share of the liability may not be sufficient. (*Greshko v. Cnty. of Los Angeles* (1987) 194 Cal.App.3d 822, 834–35; see also 3 Weil & Brown, Cal. Practice Guide: Civil Procedures Before Trial (The Rutter Group 2025) ¶¶ 12:774, 12:872–873.)

The ultimate burden of persuasion is on the party opposing the good faith determination. The “party asserting a lack of good faith shall have the burden of proof on that issue.” (CCP § 877.6(d); see also 3 Weil & Brown, *supra*, at ¶ 12:875.)

III. Motion to Contest Application of Good Faith Settlement

Vargas has agreed to settle with Plaintiff, his passenger, for \$250,000. (Applic., 2:14-15.) Vargas filed the Application seeking a determination that the settlement was entered in good faith. The application is supported by the declaration of defense counsel who only declares Plaintiff and Vargas participated in informal settlement negotiations, Vargas disputes liability but made an economic decision based on defense costs and no evidence of collusion or fraud exists. (Application, Garcia Decl., ¶¶ 2-4.)

To determine whether Vargas’ settlement with Plaintiff is a good faith settlement under C.C.P., § 877.6, the Court must consider and weigh the factors set forth in *Tech-Bilt*, as discussed below:

Rough approximation of Plaintiff’s total recovery. The Application fails to provide any evidence in support of this factor.

The settlor’s proportionate liability. “The settling party’s proportionate liability is one of the most important factors.” (*Long Beach Memorial Med. Ctr. v. Sup. Ct.* (2009) 172 Cal.App.4th 865, 874 [internal citation omitted].) There must be substantial, competent evidence of the settling party’s proportionate liability before the court may grant a request for determination of good faith settlement in a contested case. (*Mattco Forge, supra*, 38 Cal.App.4th at 1351; see also *Tech-Bilt, supra*, 38 Cal.3d at 499.) Conclusory allegations as to the settling parties’ liability are insufficient. (*Id.*)

Again, Vargas’ Application fails to present any evidence in support of this factor. The declaration in support of the Application support states Vargas disputes liability. (Garcia Decl., ¶ 3.) The WM Defendants argue that not only did Vargas fail to present any evidence in support of this factor, but Vargas’ \$250,000 settlement is not within the reasonable range of his proportionate liability. According to the police report, the officer determined that Vargas caused this collision by driving at an unsafe speed in violation of the Vehicle Code. Vargas was traveling “at about 50 mph” when he struck Arroyo’s

truck, which had “activated his right turn signal as he drove past the intersection of Grove View Road” before “swung a little wide and began to turn right into the driveway.” The independent witness corroborated that Arroyo had his right turn signal on and swung a little wide before beginning his right turn into the driveway” and that he saw Vargas speeding northbound on Indian Street approaching the back of Arroyo. Vargas himself acknowledged that he didn’t realize Arroyo was making a right turn into the same driveway he was planning on turning into. Based on this fact, and given the absence of evidence, the proposed settlement is disproportionately low.

The amount paid in settlement. Vargas only states in the Application he has agreed to pay Plaintiff \$250,000 in settlement. However, Vargas cannot simply provide the settlement amount, but must provide the Court with the “terms and provisions” of the settlement, as required by C.C.P., § 877.5(a)(1). They argue that the Court must be able to determine “what settlement or settlements took place and what parties agreed to what allocations.” (*Alcal Roofing & Insulation v. Sup. Ct.* (1992) 8 Cal.App.4th 1121, 1127.) CCP § 877.5(a)(1) provides: “Where an agreement or covenant is made which provides for a sliding scale recovery agreement between one or more, but not all, alleged defendant tortfeasor and the plaintiff . . . [t]he parties entering into any such agreement or covenant shall promptly inform the court in which the action is pending of the existence of the agreement or covenant and **its terms and provisions.**” (emphasis added.)

The allocation of the settlement proceeds among plaintiffs. As there is only one plaintiff, this factor does not apply.

A recognition that a settlor should pay less in settlement than he would if he were found liable after a trial. This factor weighs in favor of a good faith determination.

The settling party’s financial conditions and insurance policy limits. An exception to the proportionality requirement is that “a disproportionately low settlement figure is often reasonable” when the settling defendant is “relatively insolvent” and uninsured or underinsured. (*Tech-Bilt, supra*, 38 Cal.3d at 499; see *Schmid v. Sup. Ct.* (1988) 205 Cal.App.3d 1244, 1245–46.)

In opposition, Vargas’ counsel submits a declaration stating the Vargas vehicle was insured by Farmers Insurance Exchange with policy limits of \$250,000.00 per person and \$500,000.00 per occurrence. (Oppo., Garcia Decl., ¶ 3.) There is no evidence of Vargas’s financial condition.

Because a settling defendant’s financial condition is one of the *Tech-Bilt* factors, discovery into the settling defendant’s financial condition is subject to discovery by the nonsettling party in a contested motion for good faith settlement proceedings. (*City of Grand Terrace v. Sup. Ct.* (1987) 192 Cal.App.3d 1251, 1264–65.) A “disproportionately low” settlement is a threshold requirement” for conducting discovery into settling defendant’s financial condition. (*L.C. Rudd & Son v. Sup. Ct.* (1997) 52 Cal.App.4th 742, 749.) Here, the WM Defendants have shown that the proposed settlement amount is disproportionately low, and that they have served written discovery on Vargas but he has not responded.

Evidence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants. Counsel for Vargas declares there was no collusion, fraud, or any other conduct aimed at injuring the interest of nonsettling parties. (Applic., Garcia Decl., ¶ 4.)

However, as WM Defendants argue, there are several procedural circumstances warrant consideration under the factor addressing the existence of collusion, fraud or tortious conduct aimed to injure the interests of the non-settling defendants. First, despite having served other documents on WM counsel electronically and having actual knowledge of WM counsel's current El Segundo address from documents served on him, Vargas served the application via mail to WM counsel's former Los Angeles address. Second, the application was filed after WM Defendants served written discovery but before Vargas was required to respond, which prevented WM Defendants from obtaining verified financial information before the settlement application was heard. Third, Plaintiff was a passenger with Vargas at the time of the accident. Finally, Plaintiff entered a default against Vargas on March 3, 2026 which was stipulated to be set aside on May 19, 2026 and the settlement application was filed two days later, on May 21, 2026. None of these circumstances alone establishes collusion. However, the cumulative effect of these circumstances, combined with the absence of documentary verification of the proportionate liability, Plaintiff's damages, asserted policy limits and financial condition, raises questions about the adequacy of the evidentiary showing.

Taking all of the *Tech-Bilt* factors into account, the Court finds that Vargas failed to make a sufficient showing of all the *Tech-Bilt* factors in his favor, and grants the WM Defendants motion to contest and deny Vargas' Application without prejudice.

Grant the motion to contest. Deny the application without prejudice.